Characteristics of Capital

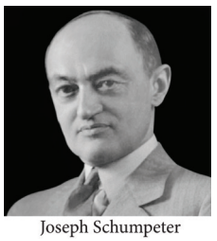
- Capital is a man-made factor.
- Capital is mobile between places and persons.
- Capital is a passive factor of production.
- Capital's supply is elastic.
- Capital's demand is a derived demand.
- Capital is durable.
- Capital yields Income.
- Capital depriciates.

Capital may be tangible or intangible. For example, buildings, plants and machinery, factories, inventories of inputs, warehouses, roads, highways etc are tangible capital. The examples for intangible capital are investment on advertisement, expenses on training programme etc.

Financial Capital means the assets needed by a firm to provide goods and services measured in term of money value . It is normally raised through debt and equity issues .The prime aim of it is to a mass wealth in terms of profit.

3.2.4. *Organization*




Joseph Schumpeter

The man behind organizing the business is called as 'Organizer' or 'Entrepreneur'. An organiser is the most important factor of production. He represents a special type of labour. Joseph Schumpeter says that an entrepreneur innovates, coordinates other factors of production, plans and runs a business. He not only runs the business, but also bears the risk of business. His reward is residual. This residual is either positive (profit) or negative (loss) or zero.

Functions of an Organizer (Entrepreneur)

- ***Initiation:*** An organizer is the initiator of the business, by considering the situation and availability of resources and planning the entire process of business or production.
- ***Innovation*:** A successful entrepreneur is always an innovator. He introduces new methods in the production process.
- ***Coordination:*** An organizer applies a particular combination of the factors of production to start and run the business or production.
- ***Control, Direction and Supervision:*** An organiser controls so that nothing prevents the organisation from achieving its goal. He directs the factors to get better results and supervises for the efficient functioning of all

An entrepreneur is a person who combines land, labour and capital in the production process to earn a profit.

Chapter-03.indd 57 20-02-2020 11:48:07